

April, 2010

RE: AEJApp-xxxxxxx

Dear Dr. Lemieux,

I have completed my report of "xxxxxxx." I should note that I recently reviewed this paper for *Demography* but that the paper has since been revised. As such, I thoroughly reread the paper and have a number of new comments for the author in my accompanying report.

My main criticism of this paper is that it falls short in making a case that the analysis recovers the causal effect of job displacements, let alone income. The author never discusses the identifying assumption required by the empirical model—that job displacements are exogenous. This is a strong assumption and one that is not supported by the data, as low earning men are more likely to become displaced. There are also a number of strange choices (see comment #4 in the attached report). As such, I do not recommend that you pursue this paper for publication.

Also, since it might just be me being sensitive about my own work, I would appreciate it if you would take a look at my comment #3, in which I suggest that the author be "more balanced" in discussing my work, and perhaps communicate your thoughts to the author. Before removing it in an effort to remain anonymous, I had written the following:

The individual fixed effects models in Lindo (forthcoming) attempt to overcome the likelihood that displacements are not exogenous which is an important threat to the validity of any paper analyzing the effects of job loss. Lindo also presents results without individual fixed effects. Also, while Lindo is somewhat restrictive in controlling for a quadratic in the year, his estimates control for age with fixed effects.

Sincerely,
Jason Lindo
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Department of Economics
University of Oregon